25901018 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION November 2025

First SEMESTER

Skill Development Components (SDC) - MG1SDCAAT100 - FUNDAMENTALS OF ACCOUNTING

(2025 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ

Answer any **10** questions

Each question carries **1** marks

1. Posting means: [U] / [CO1]
   a). Transferring journal entries to ledger accounts
   b). Recording transactions in cash book only
   c). Preparing trial balance
   d). Financial planning

2. Which is the first step in the accounting cycle? [U] / [CO1]
   a). Journalizing transactions
   b). Preparing trial balance
   c). Posting to ledger
   d). Closing entries

3. GAAP stands for: [U] / [CO1]
   a). Generally Accepted Accounting Principles
   b). General Accounting Application Process
   c). Government Audit and Accounting Plan
   d). Global Accounting Act Procedures

4. Difference between Cash Account and Cash Book is that Cash Book: [U] / [CO2]
   a). Records cash transactions only in ledger
   b). Acts as journal and ledger simultaneously
   c). Records only credit transactions
   d). Is used quarterly

5. Sales Return Book records: [U] / [CO2]
   a). Returns of sold goods
   b). Cash sales
   c). Credit sales only
   d). Purchases

6. A feature of Purchases Day Book is: [U] / [CO2]

a). Helps in tracking credit purchases b). Maintains petty cash

c). Prepares trial balance d). Records cash only

7. Closing entries of a Profit and Loss Account are made to: [U] / [CO4]

a). Record opening stock for the next year b). Transfer the net profit or loss to the Capital Account

c). Adjust purchases and sales in the ledger d). Record all cash transactions

8. Error of principle occurs when: [K] / [CO2, CO3]

a). Total debit does not equal total credit b). Transaction is recorded in wrong class of account

c). Transaction is omitted d). Ledger balances are miscalculated

9. Which of the following is a type of error of omission? [K] / [CO2, CO3]

a). Recording wrong amount in the ledger b). Completely failing to record a transaction

c). Posting to wrong account d). Recording debit as credit

10. Prepaid expenses are treated as [U] / [CO4]

a). Assets b). Liabilities

c). Incomes d). Capital

11. Profit and Loss Account records [U] / [CO3, CO4]

a). Direct incomes b). Indirect incomes and expenses

c). Assets d). Liabilities

12. What is the primary objective of financial statements? [K] / [CO3, CO4]

a).To record all transactions b).To provide information about the financial position of a business

c).To calculate tax d).To track daily cash movements

[1x10 = 10]

Part B

Short Essay Questions

Answer any **5** questions

Each question carries **6** marks

13. Differentiate Book keeping and Accounting. [An] / [CO1]

14. A business wants to maintain proper records of all cash receipts and payments. Explain how the business can apply the concept of a cash book in recording these transactions. Discuss its features and advantages . [A] / [CO2]

15. A small business wants to maintain accurate records of all its financial transactions. Explain how the business can apply the double entry system of accounting in recording these transactions. Also, discuss the advantages and [A] / [CO1]

limitations .

16. From the following transactions prepare a Simple Cash Book in the books of Mr. Kammath [A] / [CO2]

2024 Jan 1 Cash in Hand Rs. 1,20,000
5 Received from Arjun Rs. 3,00,000
7 Paid Rent Rs. 20,000
10 Sold goods for Cash Rs. 4,00,000
15 Paid to Syama Prasad Rs. 1,80,000
20 Purchased furniture Rs. 50,000
25 Paid Salaries Rs. 2,500
27 Purchased goods for Cash Rs. 3,00,000
29 Cash taken for personal use Rs. 5000

17. A business wants to manage small, frequent cash payments efficiently. Evaluate the role of a petty cash book in handling such transactions. Discuss its advantages and importance. [E] / [CO2]

18. From the following account balances prepare a Trial Balance as on 31st March 2024 [A] / [CO2, CO3]

Opening Stock	60,500
Purchases	90,500
Sales	1,37,200
Purchase returns	1,300
Sales returns	2,200
Drawings	4,500
Land and buildings	30,000
Furniture and fittings	8,000
Sundry Debtors	25,000
Sundry Creditors	45,000
Cash in hand	3,500
Investment	10,000
Interest received	500
Commission received	3,000
Wages	6,000
Carriage inwards	1,500
Postage and stationery	2,500
Capital	?

19. Differentiate Trading Account and Profit and Loss Account. [An] / [CO3, CO4]

[6x5 = 30]

Part C

Essay Questions

Answer any **2** questions

Each question carries **15** marks

20. Define Accounting and explain its advantages and disadvanatges, functions of accounting. [K] / [CO1]

21. Prepare Cash book with cash , bank and discount columns [A] / [CO2]

2024 jan 3 cash in hand Rs. 60,000 and bank overdraft Rs. 90,000

5 paid salaries RS. 5,000

6 purchased goods for cash Rs. 3,000

7 Sold goods for cash Rs. 13,000

8 Issued a cheque in favour of Krishna Rs. 2,500 in full settlement of Rs. 2,500

9 Received cash from Dharma Rs. 2,400 and discount allowed Rs. 200

11 Received cheque from joy Rs. 3,100 in full settlement of Rs. 3,500

22. Which are the Closing entries related to Trading Account and Profit and Loss Account? [A] / [CO3, CO4]

23. [E] / [CO3, CO4]

Particulars	Dr. (₹)	Cr. (₹)
Capital		50,000
Purchases	30,000	
Sales		70,000
Sundry Debtors	20,000	
Sundry Creditors		15,000
Rent Paid	5,000	
Wages	8,000	
Carriage Inwards	2,000	
Carriage Outwards	1,000	
Bad Debts	500	
Provision for Doubtful Debts		1,000
Stock (1.1.2023)	10,000	

Additional Information:

- Closing stock on 31.12.2023 is ₹12,000.
- Prepare Trading Account, Profit & Loss Account, and Balance Sheet and interpret profitabilty.

[15x2 = 30]